Inheritance Tax

Content

D Inheritance tax

1. The basic principles of computing transfers of value
2. The liabilities arising on chargeable lifetime transfers and on the death of an individual
3. The use of exemptions in deferring and minimising inheritance tax liabilities
4. Payment of inheritance tax

1.Transfer of value for IHT

Inheritance tax is charged on a transfer of value.

- **Transfer of value**

Any gratuitous disposition on donor's estate.

- **Diminution in value**

The value of the asset transferred for IHT:

Loss to donor → Reduction in value of the donor's wealth

1.Transfer of value for IHT

	£
Donor's wealth before transfer	X
Donor's wealth after transfer	(X)
Transfer of value for IHT	X

1.Transfer of value for IHT

Lecture illustration

Mr. Jones owns 75% of Jones Ltd, an unquoted investment company.

He gives a 30% holding to his son.

Shareholdings on this date were valued at:

Shareholding	£
75%	370,000
45%	200,000
30%	105,000

1.Transfer of value for IHT

	£
Mr. Jones's wealth before transfer	370,000
Mr. Jones's wealth after transfer	(200,000)
Transfer of value for IHT	170,000

CGT value (MV) £105,000

2. Types of transfer

2.1 Lifetime transfer

- Potentially exempt transfer (PET)

PET is a gift between individuals.

PETs are exempt from IHT when the gift is made.

PET will become chargeable if the donor dies within seven years of that transfer.

2. Types of transfer

2.1 Lifetime transfer

- **Chargeable lifetime transfer (CLT)**

Any transfer which is made to a trust is a chargeable lifetime transfer (CLT).

CLTs are chargeable during lifetime.

Additional tax of CLT should be paid on death if donor dies within seven years of that transfer.

2. Types of transfer

2.2 Death estate

On death, an individual transfers his property comprised in death estate, IHT should be paid.

3. Exemption

3.1 Both lifetime transfers and transfers on death

- Transfers between spouses/civil partners
- Gifts to UK charity

3. Exemption

3.2 Lifetime transfers only

I. Gifts in consideration of marriage – wedding gifts

- £5,000 by a parent per marriage.
- £2,500 by a grandparent or remoter ancestor, (e.g. great-grandparent) or one party of the marriage to the other (from the groom to bride)
- £1,000 by any other person.

3. Exemption

3.2 Lifetime transfers only

II. Small gifts exemption

- Up to £250 per donee per fiscal year.
- Cannot apply to gifts exceeding £250 in total to the same donee per fiscal year.

3. Exemption

3.2 Lifetime transfers only

III. Normal expenditure out of income

- Cash gifts which are habitual
- Made out of income of donor
- Must not reduce standard of living of the donor

3. Exemption

3.2 Lifetime transfers only

IV.Annual exemption (AE)

- First £3,000 of value transferred in any tax year is exempt.
- The exemption is given in chronological order to the earliest gift(s) made in the tax year.
- Any unused annual exemption (whole or part) may be carried forward for one year to use in the following tax year.
- Current year AE used before AE brought forward.

Lecture example 1

Maggie made the following lifetime transfers during her lifetime:

(a) Unquoted shares worth £525,000 in the family company to her husband on 1 June 2025

(b) £15,000 to her son on 6 July 2025 as a wedding present.

(c) £20,000 to her nephew on 27 September 2025

(d) Gift valued £235 to a friend for her 40th birthday on 4 November 2025

(e) £270,000 into a trust on 24 December 2025

Calculate the chargeable amount for each of Maggie's lifetime gifts.

4. Types of IHT computations

4.1 Lifetime tax on lifetime transfer

Proforma of lifetime tax	£
Gift	X
Less: AE	(X)
Less: AE b/f	(X)
Chargeable transfer	X
Less: Nil rate band available Nil rate band of the year of transfer X Less: GCTs in previous 7 years from the date of the transfer (X)	(X)
Taxable amount	X
Lifetimetax Taxable amount×20% or 25%	X

4. Types of IHT computations

Step 1: Chargeable transfer of CLT

= Diminution in value － AEs

Step 2: Nil rate band available

= Nil rate band of the year of transfer － GCTs in previous seven years from the date of the transfer

Nil rate band 2025-26: £325,000

4. Types of IHT computations

Gross chargeable transfers (GCT) for CLT

Donor pays lifetime tax: GCT for CLT= Chargeable transfer + lifetime tax donor paid

Trust pays lifetime tax: GCT for CLT = Chargeable transfer

Step 3: Calculate lifetime tax

= (Chargeable transfer of CLTs － Nil rate band available) ×20% or 25%

Lecture example 2

During his lifetime Sidney had made the following cash gifts:

21 April 2010, £98,000 to a trust (trustees to pay tax)

15 April 2015, £140,000 to his son

19 March 2016, £234,000 to a trust (Sidney to pay tax)

The nil rate bands for earlier years are as follows:

2010-11 £300,000

2015-16 £325,000

Calculate the IHT (lifetime tax) arising as a result of Sidney's lifetime transfers and the gross chargeable amount of gifts.

4. Types of IHT computations

4.2 Death tax on lifetime transfer

IHT is charged on PETs and CLTs made within seven years of death, all PETs and CLTs more than seven years before death are exempt.

4. Types of IHT computations

Proforma of death tax on lifetime transfer	£
GCT for CLT or PET	X
Less: Nil rate band available Nil rate band of the death X Less: GCTs in previous seven years from the date of the transfer (X)	(X)
Taxable amount	X
Tax Taxable amount×40%	X
Less: taper relief	(X)
Less: lifetime tax (on CLT)	(X)
Death tax	X

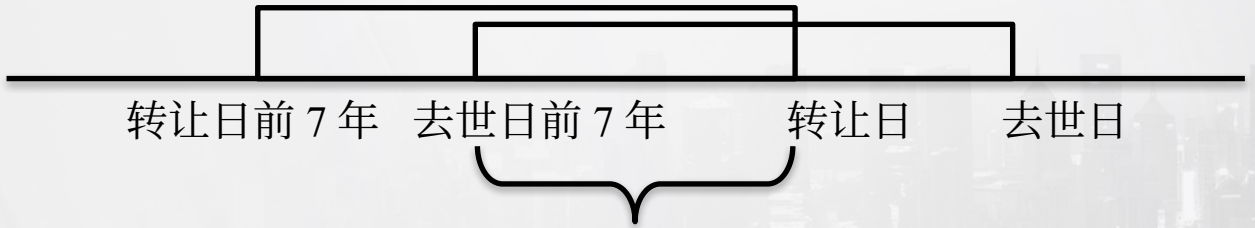
4. Types of IHT computations

Step 1: PETs or GCT for CLTs

PET = Gift – all exemption

Step 2: Nil rate band available

= Nil rate band of the death － any GCTs (CLTs & chargeable PETs) in previous seven years from the date of the transfer.



4. Types of IHT computations

Step 3: Calculate death tax

= (GCT/PET － Nil rate band available) ×40%

Step 4: Deduct any taper relief

Period (years)	% reduction in death tax
3-4	20%
4-5	40%
5-6	60%
6-7	80%

Step 5 : Deduct any lifetime tax （only for CLTs）

Lecture example 3

Mr. Raymond died on 7 June 2025.

He made the following gifts during his lifetime:

13 May 2019	Gift to daughter on her marriage	£135,000
23 August 2019	Gift into a trust	£334,000

Mr. Raymond pays the lifetime tax. The nil rate band in 2019-20 is £325,000.

Calculate any IHT payable during life and on death.

4. Types of IHT computations

4.3 Death tax on death estate

I. Calculation

Proforma of death tax for death estate			£
Chargeable estate			X
Less: Nil rate band available			
Nil rate band of the death		X	
Less: GCTsin 7 years before death	(X)		(X)
Less: Residence nil rate band available			(X)
Taxable amount			X
Deathtax Taxable amount×40%			X

4. Types of IHT computations

Step 1: Calculate chargeable death estate

	£
Stocks and shares	X
Insurance policy proceeds	X
Leasehold property	X
Cars	X
Personal chattels	X
Debts due to deceased	X
Cash	X
Freehold property	X
Less: Debts due by deceased	(X)
Funeral expenses	(X)
Exempt transfers	(X)
Chargeable death estate	X

4. Types of IHT computations

- **Debts due by deceased**

Deductible:

Repayment mortgages

Interest-only mortgages

Accrued interest from above mortgage

Legal gambling debts

Unpaid taxes, electricity and gas bills

4. Types of IHT computations

- **Non-deductible:**

Illegal gambling debts

Promise to pay an amount to a relative

Endowment mortgages

Oral agreement for sale of interest in land

4. Types of IHT computations

Step 2: Calculate nil rate band available and residence nil rate band available

- **Nil rate band available**

= Nil rate band on death － any GCTs (CLTs & chargeable PETs) in 7 years before death

- **Residence nil rate band available**

Condition:

-The deceased person died on or after 6 April 2017; and

-The deceased person owned a main residence which is part of their death estate; and

-The main residence passes to one or more direct descendants of the deceased person (e.g., children, grandchildren)

4. Types of IHT computations

Step 2: Calculate nil rate band available and residence nil rate band available

Residence nil rate band:

Amount:

若逝者未结婚无配偶，或逝者的配偶还在世，则按照此公式计算。

Lower of

-£175,000

-Value of residence － Mortgage on property

4. Types of IHT computations

Step 3: Calculate Death tax

= (Chargeable estate − Nil rate band available − Residence nil rate band available)

×40%

Lecture example 4

Rory died on 5 May 2025, leaving an estate comprising:

- 10,000 ABC plc shares, valued at £24,400
- Main residence valued at £350,000, outstanding repayment mortgage of £50,000
- Summer cottage valued at £84,000
- 1,000 XYZ Investment Ltd shares valued at £68,000

Rory had an outstanding loan of £5,750 at the time of his death.

Rory left a will directing that his wife should take the shares of ABC plc, the main residence should go to his son and the rest of his estate should go to his daughter. He had made one gross chargeable transfer during his lifetime in 2019 of £232,000.

Show the IHT payable on Rory's estate.

4. Types of IHT computations

4.3 Death tax on death estate

II. Transfer of Nil Rate Band and Residence Nil Rate Band

- **Transfer of nil rate band**

If a spouse or civil partner has already died but didn't use all of nil rate band on death, this can be transferred the unused proportion to another.

Claim deadline: Two years after the end of the month of death by personal representatives (PRs).

4. Types of IHT computations

Lecture illustration

George died on 1 June 2011 with an estate valued at £400,000.

He left £250,000 of his estate to his wife Mildred and the balance to his son.

The nil rate band on 1 June 2011 was £312,000. George had no lifetime transfer.

Mildred died on 23 July 2025.

Mildred’s total nil rate band on death:

4. Types of IHT computations

	£
Mildred's own nil rate band	325,000
Husband transferred nil rate band 162,000/312000×325,000	168,750
Total nil rate band on death	493,750
Working1:	£
George's estate	400,000
Less exempt transfer	(250,000)
Chargeable estate (Using up nil rate band)	150,000
Nil rate band unused 312,000 － 150,000	162,000

4. Types of IHT computations

- **Transfer of residence nil rate band**

若逝者的配偶已经去世，则该逝者的 Residence nil rate band available 按照此部分的公式计算。

A 和 B 是配偶， B 在 A 之前去世：

① 如果 B 在 17 年 4 月 6 号之前去世， B 可以转让 £175,000 Residence nil rate band 给 A 。

A's residence nil rate band is lower of:

£175,000 + £175,000

Value of residence － Mortgage on property

4. Types of IHT computations

- **Transfer of residence nil rate band**

② 如果 B 在 17 年 4 月 6 号之后去世， B 可以转让未使用的 Residence nil rate band 给 A 。

Unused residence nil rate band = £175,000 － (Value of residence － Mortgage on property) ＞ 0

A's residence nil rate band is lower of:

£175,000 + Unused residence nil rate band

Value of residence － Mortgage on property

Lecture example 5

Mildred and Timothy are married couple. Mildred died on 1 June 2017. She left all estate to her husband Timothy.

Timothy died on 19 June 2025. He left an estate valued at £850,000 left to their son. The estate included a main residence valued at £300,000. Timothy only had made a gift of £171,000 to his sister on 11 September 2020.

Calculate inheritance tax for Timothy's estate.

5. IHT Administrations

5.1 Lifetime tax on lifetime transfer:

The donor is primarily liable for the tax due on chargeable lifetime transfers.

Trustees may agree to pay the tax out of the trust assets.

Due date is the later of:

30 April after the end of the tax year of transfer

Six months after the end of the month of transfer

5. IHT Administrations

5.2 Death tax in respect of PETs and CLTs

Death tax on PET and CLTs is paid by Donee.

Due date: Six months after the end of the month of death.

5.3 Death tax on Death estate

The deceased's personal representatives (PRs) are responsible to pay death tax on death estate

PRs will use estate assets to pay IHT.

So the death tax is suffered by residual legatee.

Due date: Six months after the end of the month of death.

6. IHT Implication

6.1 Advantages of making lifetime transfers

- Lifetime transfers are the easiest way for a person to reduce their potential IHT liability.
- A PET is completely exempt after seven years.
- A CLT will not incur any additional IHT liability after seven years.
- Even if the donor does not survive for seven years, taper relief will reduce the amount of IHT payable after three years.
- The value of PETs and CLTs is fixed at the time they are made, so it can be beneficial to make gift of assets which are expected to increase in value such as property or shares.

6. IHT Implication

6.2 Basic inheritance tax planning

- Gifts should be made as early in life as possible so that there is a greater chance of the donor surviving for seven years.
- Gifts can be made to trusts up to the amount of the nil rate band every seven years without incurring any immediate charge to IHT.
- When making gifts either during lifetime or on death, it can be beneficial to skip a generation so that gifts are made to grandchildren rather than children. This avoids a further charge to IHT when the children die.
- Given that the residence nil rate band is only available where inheritance is by direct descendants, rearranging the terms of a will can save IHT.

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Quizzes(self-practice)

Quiz 1

Laurence made a gross chargeable transfer of £222,000 on 30 August 2020.
Laurence gifted £180,000 to a trust on 28 February 2026, opting to pay the tax himself.
How much lifetime IHT is payable on the gift to the trust on 28 February 2026?
A.£19,250
B.£17,750
C.£14,200
D.£15,400

Quiz 1-A

The correct answer is **B**.

		£	£
Transfer of value			180,000
Less:	Annual exemption 2025-26	3,000	
	Annual exemption 2024-25	3,000	(6,000)
			174,000
Less:	NRB remaining		
	NRB 2025-26	325,000	
	Less: gross chargeable transfe		
	in previous 7 years	(222,000)	
	NRB available		(103,000)
Taxable amount			71,000
IHT @ 20/80			17,750

Quiz 2

Simba made a gift of £400,000 to a trust on 30 June 2021. This was his only lifetime gift, and Simba paid the lifetime IHT of £17,250 on the gift. The gross chargeable transfer was £411,250.

Simba died on 31 March 2026.

What is the additional IHT arising on the lifetime gift as a result of Simba's death?

A.£3,450

B.£17,250

C.£20,700

D.£34,500

Quiz 2-A

The correct answer is **A**.

	£	£
Gross chargeable transfer		411,250
Less: NRB remaining		
NRB at death	325,000	
Less: gross chargeable transfer in previous 7 years	(0)	
NRB available		(325,000)
Taxable amount		86,250
IHT @ 40%		34,500
Less: Taper relief 4-5 years (40%)		(13,800)
Chargeable		20,700
Less: lifetime tax paid		(17,250)
IHT payable on death		3,450

Quiz 3

Justin had the following assets and debts at the date of his death, on 31 January 2026:

	£
Private residence (no mortgage)	420,000
Stocks and shares ISA	10,000
Insurance policy proceeds	400,000
Cash ISA	18,000
Outstanding income tax bill	3,000
Debts from unlicenced gambling	2,000
Funeral expenses	7,000

Quiz 3

Justin left £500,000 to his wife in his will, and the remainder of the estate to his daughter.

What is the value of Justin's chargeable estate?

A.£838,000
B.£338,000
C.£336,000
D.£341,000

Quiz 3-A

The correct answer is **B**.

		£
Private residence		420,000
Stocks and shares ISA		10,000
Insurance policy proceeds		400,000
Cash ISA		18,000
		848,000
Less: debts due by Justin		
Income tax	3,000	
Funeral expenses	7,000	(10,000)
Value of the estate		838,000
Less: exempt transfer		(500,000)
Chargeable estate		338,000

Quiz 4

Martha gifted £400,000 into a trust on 7 April 2022, on which lifetime tax of £15,000 was payable.
Martha died on 1 April 2026, and inheritance tax of £40,000 is due on her death estate.
What are the payment dates for the relevant IHT?

	Lifetime IHT	Death IHT
A	30 April 2023	31 October 2026
B	31 October 2022	1 October 2026
C	31 October 2022	31 October 2026
D	30 April 2023	1 October 2026

Quiz 4-A

The correct answer is **A**.
Lifetime tax on a CLT made between 6 April and 30 September has a payment date of 30 April following the end of the tax year. The IHT payable on the death estate is due within 6 months of the end of the month of death.



谢谢观看

THANK FOR WATCHING